

[REDACTED]

JUSTIFICATION FOR OTHER THAN FULL AND OPEN COMPETITION

SOLICITATION SPE7LX24R0067

☒ ORIGINAL

☐ ADDENDUM (attach copy of original J&A for add-ons or revisions)

1. The Defense Logistics Agency – DLA Land and Maritime is the contracting activity.

2. The action being approved is the acquisition of supplies on other than a full and open competition basis.

- The resulting contract will be Firm Fixed-Price with Annual Price Adjustments, Indefinite Quantity Contract under FAR Part 12 for a 3-year base period with the option to extend the contract for two additional years in one-year increments.

3. The supplies required to meet the using activity's needs are described as follows:

Project Number	TOTAL ESTIMATED 5YR VALUE	TOTAL ANNUAL DEMAND VALUE (ADV)	MIN / MAX
CL24058003	[REDACTED]	[REDACTED]	[REDACTED]

NSN	NOMENCLATURE	ESTIMATED ANNUAL DEMAND QUANTITY (ADQ) / UI	ESTIMATED ANNUAL DEMAND VALUE (ADV)	ESTIMATED 3YR VALUE	ESTIMATED 5YR VALUE	AMC / AMSC	QCC
2540011527813	CHAIN ASSEMBLY, TIRE	2,022 / AY	[REDACTED]	[REDACTED]	[REDACTED]	1/Z	DAA

End item, weapon system, or class of item:

- List of WSDC's
RCV MED MINE PROTECTED VEHICLE (MMPV)MDL: 1226,1227,1228,12
THIS WILL BE THE PARENT WSDC FOR ALL ARMY MRAP WSDCS
MRAP BAE RG33 AUV (SOCOM)
MRAP BAE RG33 SV (SOCOM)
PALLETIZED LOADING SYSTEM

Approved Sources and Part Number:

PEERLESS CHAIN COMPANY (46156) P/N 0800597

PEWAG TRACTION CHAIN INC. (7RUQ1) P/N USA2624S 10MM

NAICS 332618 is not in the NMR class waiver list. Business Size Standard 500.

4. The statutory authority permitting other than full and open competition is:

- 10 U.S.C. 3204(a)(1): Available from only one or a limited number of sources.

5. If restricted to only certain source(s) of supply, include source(s) and CAGE code:

PEERLESS CHAIN COMPANY (46156) P/N 0800597

PEWAG TRACTION CHAIN INC. (7RUQ1) P/N USA2624S 10MM

[REDACTED]
Solicitation SPE7MX24R0067

The use of authority cited above is supported by the following Acquisition Method Code (AMC) and Acquisition Method Suffix Code (AMSC):

- **AMC 1:** Suitable for competitive acquisition for the second or subsequent time.
- **AMSC Z:** This part is a commercial/non-developmental/off-the-shelf item. Commercial item descriptions, commercial vendor catalog or price lists or commercial manuals assigned a technical manual number apply. If one source is available, AMCs 3, 4, or 5 are valid. If at least two sources are available, AMCs 1 or 2 are valid (When one or a limited number of sources are available, then a J&A is required. When an item is coded with AMSC “Z” and is listed on an interchange catalog or appears on a commercial cross reference list, this constitutes full and open competition, and a J&A is not necessary).

Product Specialist, [REDACTED], confirmed the following on 7/17/2024:

- These items are AMC/AMSC of 1/Z. These items support various WSDC'S. For these items Peerless Chain Company. (46156) and Pewag Traction Chain, Inc (7RUQ1) are the only sources capable of making this item. An alternate source(s) must qualify in accordance with the design control activity's procedures, as approved by the cognizant Government engineering activity. DLA does not possess adequate data, lacks rights to data, and/or has no record of an alternate Design Control Activity approved source. The data presently available reflects the minimum needs of the Government. There is no outstanding DLA Form 339 request for additional sources. The Product Specialist confirms the cages and part numbers are valid per the OEM's.
- Before June 2022, this NSN was AMC/AMSC of 1/G with drawing specification BASIC CID A-A-52507 (Part Piece A-A52507-2624, CAGE 58536). After two PO orders (8509077817, 8509024988) were cancelled in June 2022 due to containing material from China, the ARMY determined that drawing specification no longer adequately described the NSN. Army GVSC decided to switch the NSN from specifications to approved CAGE/Part Numbers. On 6/16/2022, Peerless Chain (46156), PN: 0800597 and Pewag Traction Chain (7RUQ1), PN: USA2624S 10MM were added as approved sources (see attachment 2).
- Product Specialist was presented with all market research and proof of commerciality on 7/3/2024. After further review, the Product Specialist concurred with the commerciality determination on 7/9/2024. The product master was updated to reflect AMC/AMSC 1/Z and the COTS box has been checked.

6. Efforts to ensure that offers are solicited from as many sources as practicable are:

- The acquisition will be synopsisized for **15** days prior to the solicitation opening. At the completion of the synopsis period, the Purchase Request (PR) will be solicited on the internet for **30** days via the DLA Internet Bid Board System (DIBBS).

7. I hereby determine that the anticipated cost to the Government will be fair and reasonable:

- I hereby determine that the anticipated cost to the Government will be fair and reasonable. Competition is expected as both approved sources expressed capability and interest in this acquisition. Price analysis will be conducted for this acquisition to deem the prices fair and reasonable as required by FAR 15.403-4. The price analysis will consist of utilizing the historical prices and adjusting them based on the PPI Index. The price will be adjusted utilizing learning curves to determine the Government low and high targets for this acquisition. Although this acquisition exceeds the \$2 million Truthful Cost or Pricing Data (TIN) threshold, certified cost or pricing data will not be required per FAR 15.403-1(b)(1) as there is an expectation of adequate price competition from two (2) independent manufacturing sources. The offeror(s) may be requested to submit information other than cost and pricing data to determine price reasonableness.

8. Market Research/Efforts to Obtain Competition:

- Market research consisted of review of past procurements, market surveys received from interested parties, and internet sources.
- Procurement history:

2540011527813 CHAIN ASSEMBLY, TIRE

Smart Number (PIIN)	Source Type	TIC	Vendor CAGE Code	Vendor Name	Quantity	Unit	Net Price	Curr	Per	Award Date	Incofems	Prc Reas	SAP PO No.	Wgtl Avg	Surplus Material
SPE7LX24F9918P00001	B		0H8G3	VEHICLE MAINTENANCE PROGRAM INC	1,368.000	AY	497.11000	USD	1	04/01/2024	1	BA	8510540999		N
SPE7LX24F9224P00001	B		0H8G3	VEHICLE MAINTENANCE PROGRAM INC	308.000	AY	505.54714	USD	1	11/24/2023	1	BA	8510285736	X	N
SPE7MX24F2522P00002	B		0H8G3	VEHICLE MAINTENANCE PROGRAM INC	1,620.000	AY	497.11000	USD	1	11/22/2023	1	BA	8510276373		N
SPE7LX23F82X9P00003	B		0H8G3	VEHICLE MAINTENANCE PROGRAM INC	70.000	AY	510.14000	USD	1	08/02/2023	1	BA	8509974079		N
SPE7LX23F9024	B		0H8G3	VEHICLE MAINTENANCE PROGRAM INC	1,183.000	PR	497.11000	USD	1	07/06/2023	1	BA	8509961725		N
SPE7LX23F9022P000002	B		0H8G3	VEHICLE MAINTENANCE PROGRAM INC	769.000	AY	497.11000	USD	1	07/06/2023	1	BA	8509991896		N
SPE7LX23F78C6	B		0H8G3	VEHICLE MAINTENANCE PROGRAM INC	739.000	PR	497.11000	USD	1	06/21/2023	1	BA	8509961931		N
SPE7LX23F78D7	B		0H8G3	VEHICLE MAINTENANCE PROGRAM INC	117.000	PR	510.14000	USD	1	06/20/2023	1	BA	8509961934		N
SPE7L723P1529P00001	A	K	46156	PEERLESS CHAIN COMPANY	1,655.000	PR	509.00000	USD	1	04/11/2023	1	BA	8509819769	X	N
SPE7L722P1964P00001	B	G	72016	KAMPI COMPONENTS CO INC	1,402.000	PR	342.64000	USD	1	05/11/2022	1	BA	8509077817	X	N

- A sources sought notice was posted on SAM.gov from 5/6/2024 to 5/13/2024. On 6/17/2024, a response to sources sought was received from CAP 360, LLC (6PTP0). The Acquisition Specialist sent back information to CAP 360, LLC (6PTP0) regarding submitting a Source Approval Request (SAR) package. The emails communication can be found in the contract file-stack 1.
- A GSA search for Pewag Traction Chain Inc, P/N USA2624S 10MM showed to be sold under GSA contract GS-21F-0057V which ends on 5/31/2029. Additionally, this same part was found being sold by distributors to the general public in two different internet websites.
- Market Survey [10 U.S.C. 3204(e)(2)(D)]

A market survey was conducted on 6/19/2024

Techniques used to conduct survey: beta.SAM.gov and e-mail correspondence

Types of information requested: Business size, manufacturer or dealer, price breaks, commerciality, estimated delivery, and quantity sensitivity

Total number of vendors contacted: 2

Names of unresponsive vendors: 0

Names of vendors and summary of information from responses:

- **Vehicle Maintenance Program. (0HBG3)**
Small Business/WOSB – Distributor/Dealer with 16 employees.
Offering Pewag Traction Chain (7RUQ1) P/N USA2624S 10MM, Large Business.
Interested in long term contract [REDACTED]

Item is commercial.

- **Peerless Chain Company (46156)**
A large business and approved source, Peerless Chain was contacted for a market survey, but a full market survey response was not received. [REDACTED], they stated their interest on providing an offer for this LTC. [REDACTED]

Commercial determination:

Commercial Determination—for the reasons stated below, items covered by this initiative will be Commercial and will be procured under FAR Part 12—Acquisition of Commercial Items.

Per Far 2.101 Commercial item means:

- (1) Any item, other than real property, that is of a type customarily used by the general public or by non- governmental entities for purposes other than governmental purposes, and-
- (i) Has been sold, leased, or licensed to the general public; or
- (ii) Has been offered for sale, lease, or license to the general public; Based on market research, buyer has determined that the item is commercial.

The Contracting Officer determined the NSN 2540-01-152-7813 is commercial items as it meets the definition of commercial items as found in FAR 2.101. Market research analysis I/A/W FAR 12.1 was conducted and based on the market survey received, it was noted that the items are commercial, purchased commercially and sold in the commercial marketplace. At the time, the Buyer also queried the internet and found the same or similar parts online websites. Furthermore, NSN 2540-01-152-7813 /Part Number USA2624S 10MM was found to be offered to the general public in Pewag Traction Chain (7RUQ1) catalog. A GSA search for Pewag Traction Chain Inc, P/N USA2624S 10MM showed to be sold under GSA contract GS-21F-0057V which ends on 5/31/2029. Additionally, this same part was found being sold by distributors to the general public on two different internet websites.

Based on market research, the contracting officer has determined that the item is commercial under FAR 12 procedures.

9. Additional facts supporting other than full and open competition are:

- Based upon the technical certification on file in DLA Land and Maritime – VEP technical data is not available and cannot be developed to permit full and open competition. The data presently available reflects the minimum needs of the Government.

10. A listing of sources, if any, indicating an interest in the acquisition is:

- Vehicle Maintenance Program. (0HBG3)
- Peerless Chain Company (46156)
- CAP 360, LLC (6PTP0)

11. The following actions are being taken to identify additional sources:

- The solicitation will contain procurement note L04– Offers for Part Numbered Items (SEP 2016) and M06 - Evaluation of Offers for Part Numbered Items (SEP 2016) for NSN 2540011527813.

12. Previous Justification for Other than Full and Open Competition IS NOT attached:

- Recent procurement history reflects awards made under Long Term Contract (LTC) SPE7LX23D0074. This LTC was solicited as full and open competition with AMC/AMSC, 1/G. Therefore, no previous J&A is available.
- On 7/9/2024, Product Specialist, [REDACTED], stated that the AMC/AMSC coding was updated (see attachment 2).

13. Attachments:

- Attachment 1: Technical Certification
- Attachment 2: Product Specialist email communication.

APPROVAL/CERTIFICATION

I hereby certify that the information contained in this justification is accurate and complete to the best of my knowledge and belief. If not exceeding \$750,000, this signature serves as the approval.

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Sunshine Brubaker – CONTRACTING OFFICER

I have reviewed and approved this justification:

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Competition Advocate, DLA Land and Maritime

I have reviewed and approved this justification:

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Robert D. Johnson, SES – Head of the Contracting Activity (HCA)

APPROVAL REQUIREMENTS

☒ Over \$15,000,000 to \$100,000,000 Head of Contracting Activity (HCA)